

Macro Thesis

- Markets are underpricing long-run inflation, with forward expectations anchored near 2.13% despite structural forces pointing to a higher inflation period, creating an opportunity for breakeven curve steepening

Strategic Curve

- Breakeven curve is **inverted**, with 5Y (**2.63%**) trading above 10Y (**2.38%**), implying a meaningful decline in forward inflation to ~2.1% in the 5Y5Y segment and a **rapid normalization** in long-run expectations
- This structure reflects **market expectations of successful disinflation** back to target, which we view as **overly compressed** and unsustainable given **persistent structural inflation pressures**

Structural Drivers

- Persistent fiscal deficits** → stronger demand and constrained monetary policy flexibility
- De-globalization trends** → reduced efficiency and higher marginal production costs
- Supply chain reconfiguration** → redundancy and reshoring increase cost structures
- Energy transition dynamics** → sustained upward pressure on energy and input prices

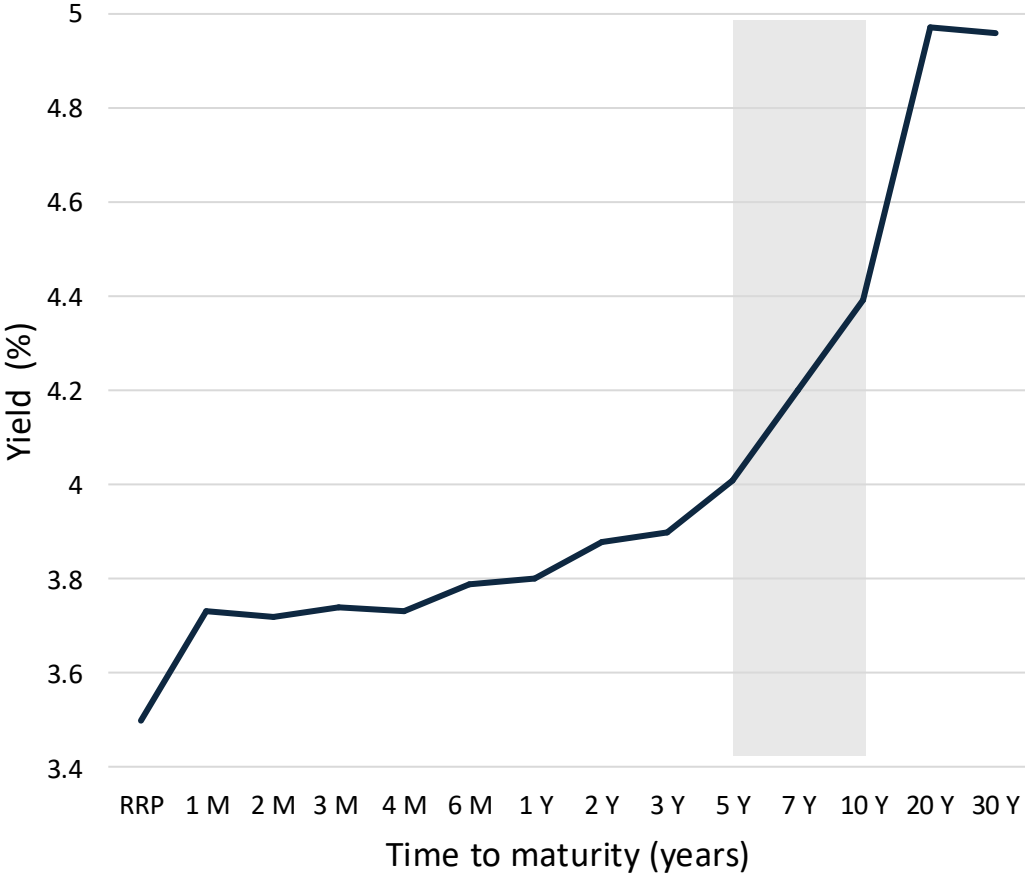
Market Mispricing & Horizon

- We expect a **structural repricing** of long-run inflation expectations
- The market currently prices the 5Y5Y forward at **~2.13%**, we target a move toward **2.40%**
- We are expressing this via a relative value trade: **Long 10Y Inflation Swap / Short 5Y Inflation Swap**
- Position captures steepening as long-end inflation expectations **reprice higher relative to front-end**

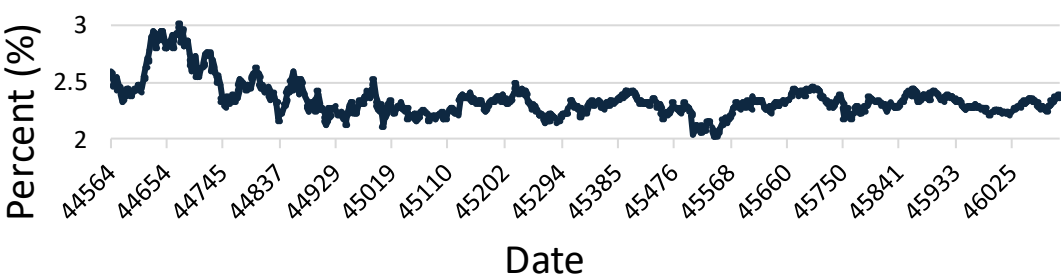
Market Pricing: Macro Backdrop

Market Conditions

US Treasuries Yield Curve



10-Year Breakeven Inflation Rate

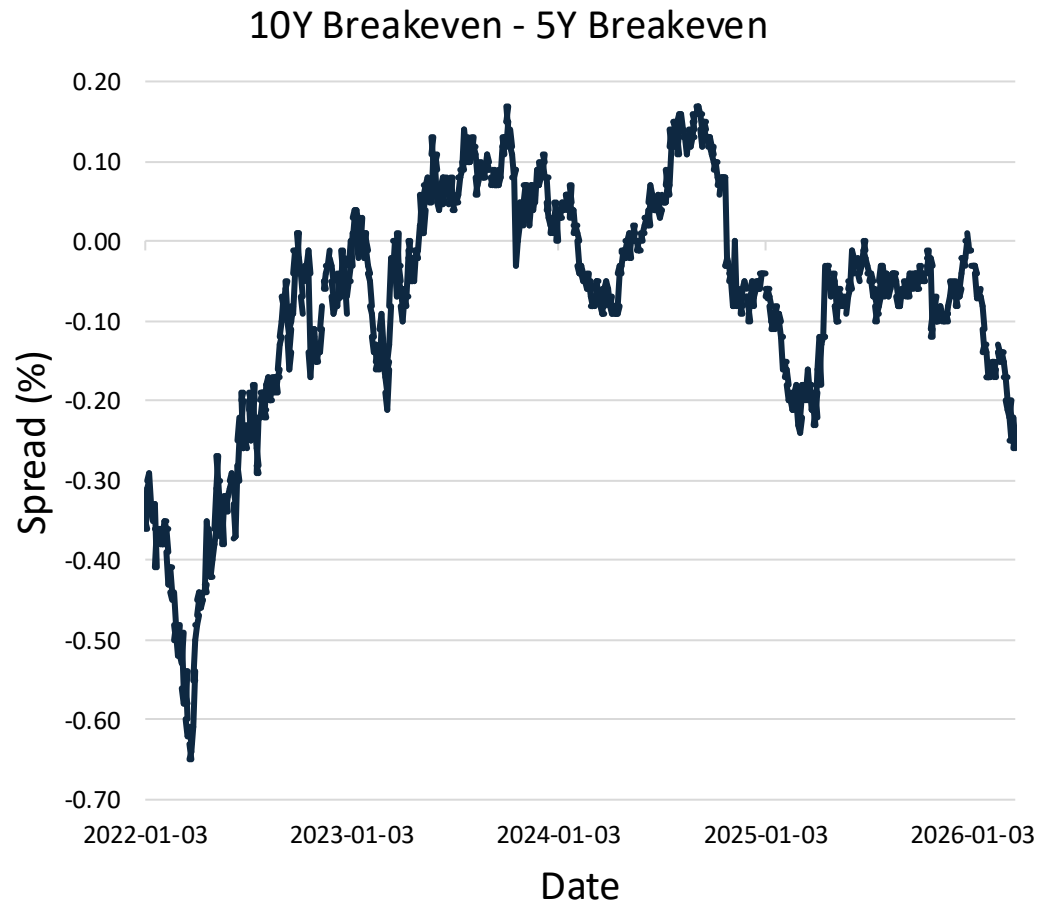


Curve Analysis

- **Yield Curve Shape:** Bear steepener shape where rates are rising overall and long-run rates are rising more than front and mid-section rates
- **Observations:** Despite a bear steepening shape in nominal yields, 10Y inflation is **2.38%**, compared to **2.63%** 5Y inflation. The disconnect between market inflation pricing and yields suggests long-term inflation expectations are **underpriced relative to medium-term expectations**

Market Pricing: Specific Mispricing

Market Conditions



Market Expectations: Deeply Negative 10Y - 5Y

- **Re-inversion today** where spread has gone from positive to negative, signaling markets believe inflation risks to fade relatively quickly after the medium-term

Our Expectations: Less Negative 10Y - 5Y

- The **market contradictorily demands** higher premiums (yields) with low incremental inflation risk (10Y inflation) for holding long-duration assets
- Energy prices spiking supply chains and **Fed ambiguity** with interest rates erodes **structural** and credibility anchors associated with 10Y breakevens
- 5Y5Y inflation at **2.13%** assumes near-perfect Fed success despite these factors, once **logical gap** is realized, 10Y inflation is expected to reprice higher relative to 5Y inflation

Fed Policy Indicators

Indicator	Current Level / Signal	Market Pricing vs. Our View
Fed Funds Futures Curve	- Implies ~3.7-3.8% policy rate over next 1-2 years - Forward path relatively flat across 2026-2027 contracts	- Consistent with inflation converging back toward ~2% - Underestimates inflation persistence, supports higher 5Y5Y inflation
CME FedWatch (Rate Probabilities)	- High probability of gradual easing into ~3.5-4.0% range Limited tail risk of sustained restrictive policy	- Reflects strong confidence in Fed's ability to react and control inflation - Risk of inflation staying above target, which underprices long-end inflation
SOFR / OIS Curve	- Forward rates broadly ~3.5-4.0% across 5Y-10Y horizon - Implied neutral rate is consistent with historical norms	- Embeds long-run equilibrium of ~2% inflation + ~1.5-2% real rates - Inconsistent with structurally higher inflation regime of ~2.3-2.4%

Trade Structure

Relative Value Trade via **Breakeven Curve Steepener**, Expressing Upside in 5y5y from **~2.13% to ~2.40%**

Leg 1: Long 10Y Inflation Swap (40%)

Mechanism

- Pay a fixed rate over the next 10 years
- Receive the realized CPI inflation over 10 years

Role:

- Primary exposure to long-end inflation repricing
- Captures upside in expectations of structural inflation from years 5-10

Capital Allocation:

- DV01 assumption of \$90 per \$1M
- Sized for long exposure to long-end breakevens
- Overweight vs. hedge leg to reflect directional inflation view

Leg 2: Short 5Y Inflation Swap (60%)

Mechanism

- Receive a fixed rate over the next 5 years
- Pay the realized CPI inflation over 5 years

Role:

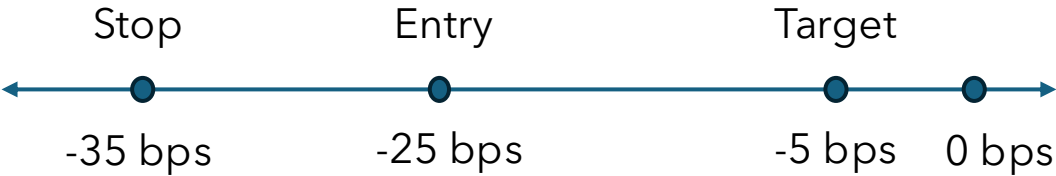
- Hedge against front-end inflation downside / cyclical disinflation
- Isolates forward (5Y5Y) inflation exposure

Capital Allocation:

- DV01 assumption of \$50 per \$1M
- Larger notional to offset lower duration vs. 10Y leg
- Calibrated to achieve near DV01-neutrality with slight long bias

Risk and Reward Framework

Expected Upside vs. Downside		
Metric	Value	Trade Implications
Entry Spread	- 25 bps	The 5Y rate (2.63%) is higher than the 10Y rate (2.38%)
Take-Profit	- 5 bps	Upside: +20 bps ; Profit as the curve normalizes
Stop-Loss	- 35 bps	Downside: -10 bps ; Loss as the curve inverts further
Risk-Reward Ratio	1:2	We are risking 10 bps of spread to capture 20 bps of profit.



Why the Reward Justifies the Risk?
- Asymmetric Payoff Profile: Risking 10 bps of further inversion to capture 20 bps of normalization on the 5Y5Y breakeven rate - By staying overweight on the long 10Y inflation swap, we maintain exposure to overall inflation levels to rise

Logic Behind the Levels
Take-profit at -5 bps reflects normalization toward the breakeven curve's historical range and forward-implied fair value (~2.4%) under our macro thesis Stop-loss at -35 bps represents thesis invalidation. A move to this level signals the market remains fully anchored to the Fed's 2% target

Catalysts

1	May & August QRAs	Treasury projected to borrow \$683B in H1 FY 2026 amid \$1.9T deficit . Any increase in long-dated coupon issuance would raise term and inflation risk premiums . This could pressure a repricing of the long-end, hence the 5Y5Y
2	June & September FOMC Meetings	Updated Fed medium-term inflation outlook as Powell's term ends . An indication that policymakers are not pushing back against above-target inflation could prompt markets to reassess long-run inflation pricing
3	Domestic Fab Production Launches	Samsung, TSMC, and Texas Instruments will begin semiconductor production in 2026, with domestic fabs costing 30-50% more to operate . Higher costs could push up prices of goods that rely on chips, suggesting higher inflation
4	June IEA World Energy Investment Report	This report could reaffirm accelerating clean energy capex amid a deficit in critical minerals supply . An increased gap between demand and supply could prompt a repricing of long-term inflation

Risk Analysis and Mitigation

Risk: Fiscal Consolidation	Risk: Super-Hawkish Fed Succession	Risk: Tech-Driven Disinflation	Risk: Energy "Cooling"
Mechanism: If the Treasury unexpectedly reduces long-dated issuance or the \$1.9T deficit is offset by higher-than-expected tax receipts	Mechanism: If the new Fed Chair prioritizes "Inflation Credibility" over fiscal concerns, they may tolerate a deep recession to hit 2.0%	Mechanism: While domestic fabs cost more to build, if they achieve massive efficiency gains through automation, lowering the cost of goods	Mechanism: If global energy demand slows or a major geopolitical resolution occurs, oil prices could reverse sharply, re-anchoring the front-end of the curve
Signal: Monitor Quarterly Refunding Announcements; exit if 10Y+ auction sizes are flat or decreasing	Signal: Exit if the Fed nominee commits to unconditional 2% inflation targets during Senate confirmation hearings	Signal: Monitor Producer Price Index (PPI) for semiconductors; if prices fall despite domestic production	Signal: Exit the trade if Brent Crude sustains < \$65/bbl or if 5Y breakevens drop faster than 10Y breakevens